BERNSTEIN
SOCIETE GENERALE GROUP

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## Americas Energy & Transition

# Americas Gas Tracker: YTD and Y-o-Y metrics not as bad as you think




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*We are gas bulls peering into a gas supercycle (Americas Natural Gas: New Bernstein Power Model helps confirm our bullish gas outlook...Haynesville activity doesn't deter us). And we believe the cycle starts now, so we want to track gas. And we want to share the tracking with you. We also want to push beyond EIA's weekly tracking for more specific data. Four key legs to our thesis are (1) LNG export growth, (2) power demand growth, (3) Permian associated growth, and (4) supplier discipline. We track those below.*

**Bottom line:**

EXHIBIT 1: **Supply and Demand Drivers Summary**

| | Demand Drivers | | | | Production | | | Rigs | |
|---|---|---|---|---|---|---|---|---|---|
| | LNG Feedgas | LNG Cargoes | Power | Weather | Permian | Haynesville | Appalachia | Permian | Haynesville |
| YTD | 🟡 | 🟡 | 🟡 | 🟢 | 🟡 | 🟢 | 🟢 | 🔴 | 🔴 |
| YOY | 🟢 | 🟢 | 🟢 | 🟢 | 🔴 | 🔴 | 🟢 | 🔴 | 🔴 |

Source: EIA, NOAA, Bloomberg, Enverus, Baker Hughes, Bernstein estimates & analysis

We re-iterate our Outperforms on EXE and EQT.

We observe demand growth YTD from both LNG and power, but this is offset by rig growth, as smaller operators drive an increase in rigs in the Haynesville, and elevated crude prices drive oil-directed rig growth in the Permian. Decreasing supply discipline with expectations of a milder winter from El Nino (which we refute in this note: Americas Gas: Will a strong El Nino dampen gas equities this winter?) has caused the forward curve to collapse (Exhibit 25).

**How to use this information:**

We think that the demand growth is structural (LNG liquefaction capacity, power for data centers), and the reduction in supply discipline is temporary (as smaller, less productive operators are priced out, and crude prices stabilize following the conclusion of the Hormuz conflict). If we expect supply discipline to return and gas prices to recover (which we do), we think current prices present an attractive entry point for gassy E&Ps. We'd be buying the dip.

One final thought: We wonder, with consensus mid-cycle Henry Hub at $3.50/mcf, why trading houses continue their trend of acquiring smaller Haynesville operators?

## BERNSTEIN TICKER TABLE

| | | | 14 Oct 2026 | | TTM | Reported EPS | | | | EV/EBITDA (x) | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Ticker | Rating | Cur | Closing Price | Price Target | Rel. Perf. | Cur | 2025A | 2026E | 2027E | 2025A | 2026E | 2027E |
| EQT (EQT) | O | USD | 52.75 | 68.00 | (21.7)% | USD | 3.31 | 7.97 | 8.46 | 8.0 | 5.0 | 4.8 |
| EXE (Expand Energy) | O | USD | 91.11 | 127.00 | (27.9)% | USD | 7.57 | 4.05 | 14.89 | 12.0 | 22.5 | 6.1 |
| SPX | | | 7,744.06 | | | | | | | | | |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

EXE estimate is Adjusted EPS; EXE valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

We maintain our price deck of $5/mcf HH price in 2027. We rate EXE and EQT Outperform.

## DETAILS

### SUMMARY

We provide a summary of the statuses of natural gas supply and demand drivers below:

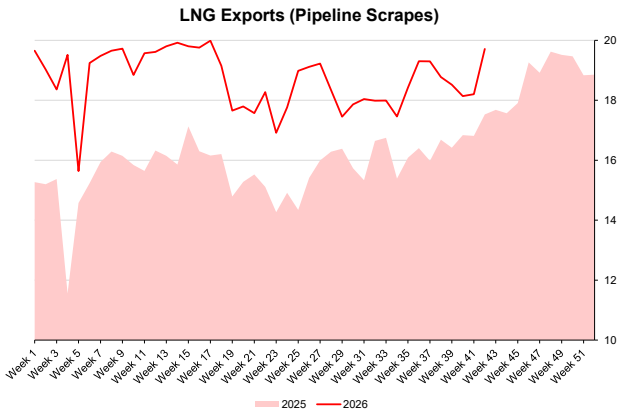
EXHIBIT 2: **Supply and Demand Drivers Summary**

| | Demand Drivers | | | | Production | | | Rigs | |
|---|---|---|---|---|---|---|---|---|---|
| | LNG Feedgas | LNG Cargoes | Power | Weather | Permian | Haynesville | Appalachia | Permian | Haynesville |
| YTD | 🟡 | 🟡 | 🟡 | 🟢 | 🟡 | 🟢 | 🟢 | 🔴 | 🔴 |
| YOY | 🟢 | 🟢 | 🟢 | 🟢 | 🔴 | 🔴 | 🟢 | 🔴 | 🔴 |

Source: EIA, NOAA, Bloomberg, Enverus, Baker Hughes, Bernstein estimates & analysis

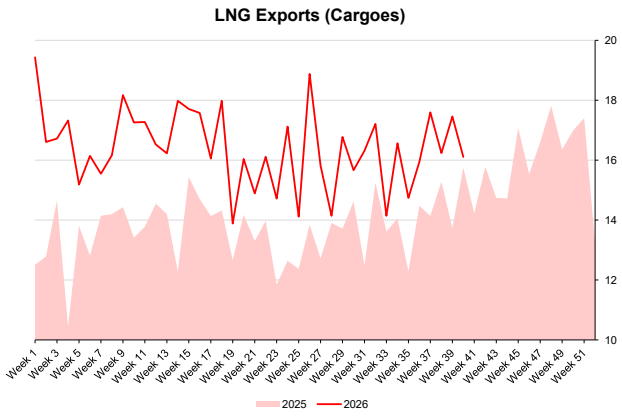
## DEMAND DRIVERS - LNG

EXHIBIT 3: **Feedgas to LNG are trending higher by 3.0 bcfd YTD.**



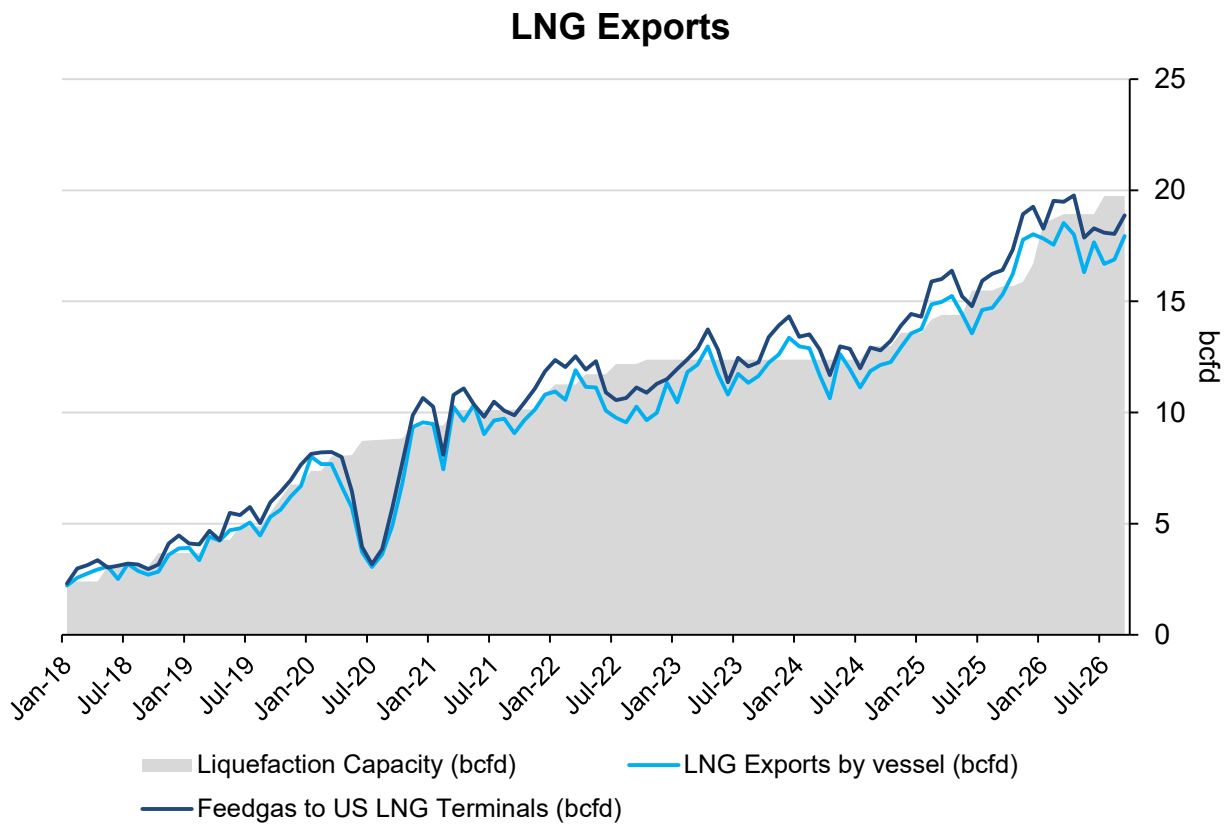

Source: Bloomberg, Bernstein analysis

EXHIBIT 4: **LNG cargoes are also trending higher by 2.7 bcfd YTD.**




Source: Bloomberg, Bernstein analysis

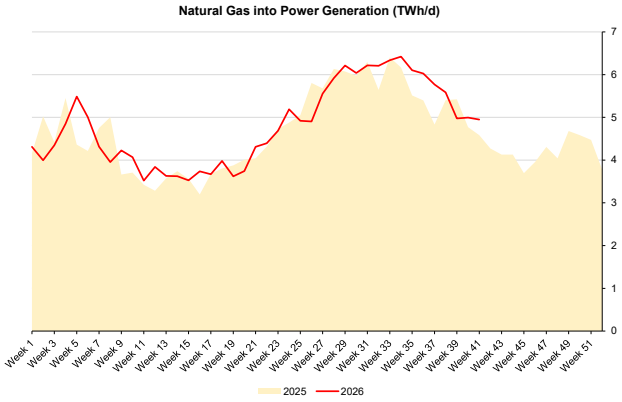
EXHIBIT 5: **LNG demand marches higher with the debottlenecking of liquefaction capacity.**




Source: Bloomberg, EIA, Company reports, Bernstein analysis

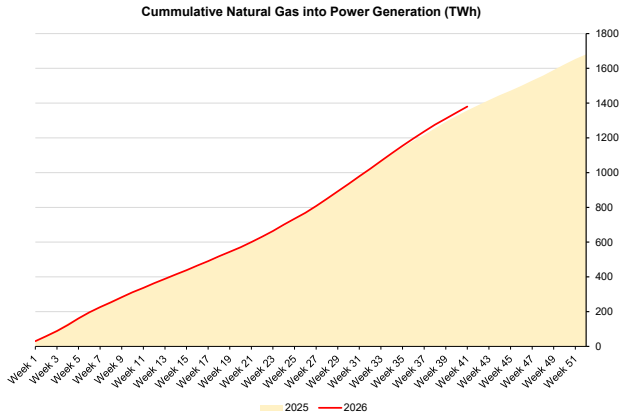
## DEMAND DRIVERS - POWER

EXHIBIT 6: **Power demand is also higher by 1.6% YTD**




Source: EIA, Bernstein analysis

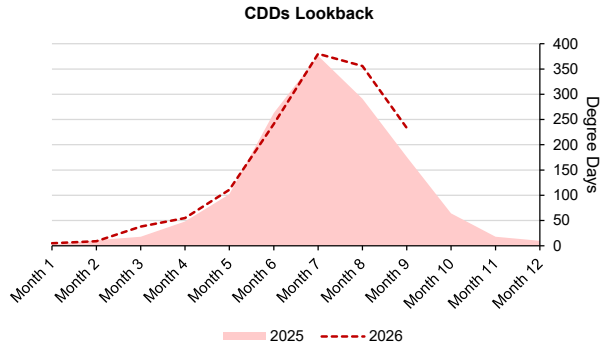
EXHIBIT 7: **We are using an additional 22 TWh worth of gas for power YTD compared to last year. That's 0.6 bcfd of gas more on average when accounting for efficiency.**




Source: EIA, Bernstein analysis

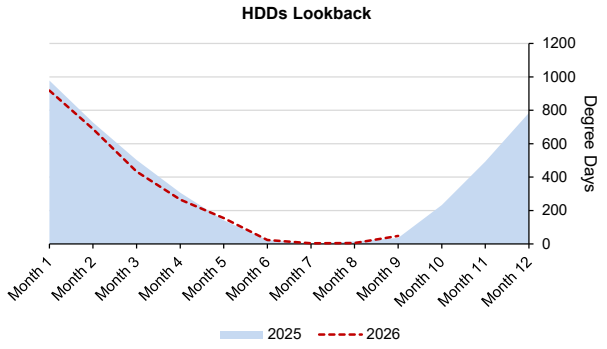
## DEMAND DRIVERS - WEATHER

EXHIBIT 8: **We close out of the 2026 summer season with slightly higher CDDs YTD compared to last year.**




Source: NOAA, Bernstein analysis

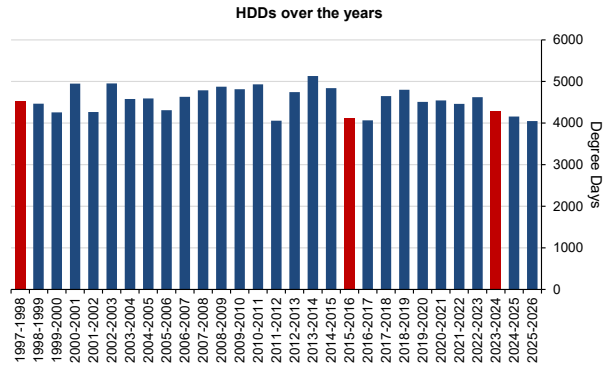
EXHIBIT 9: **We enter the 2026-2027 winter season with slightly higher HDDs compared to last year.**




Source: NOAA, Bernstein analysis

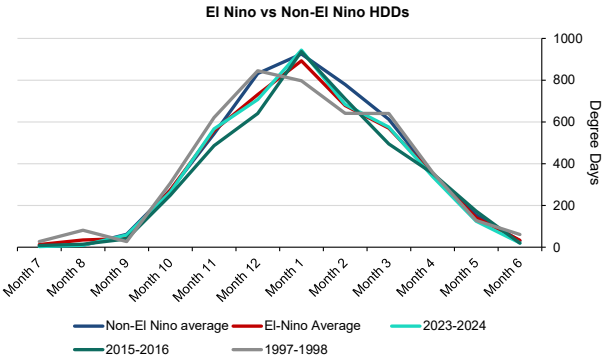
In September, CDDs and HDDS are up 32.3% and 33.3% yoy, respectively. (bullish) (Exhibit 8-Exhibit 9)

EXHIBIT 10: **No real correlation exists between El Nino and HDDs**




Red indicates El Nino winter periods
Source: NOAA, Bernstein analysis

EXHIBIT 11: **Average El Nino year HDDs are within the margin of error when compared with non-El Nino years**

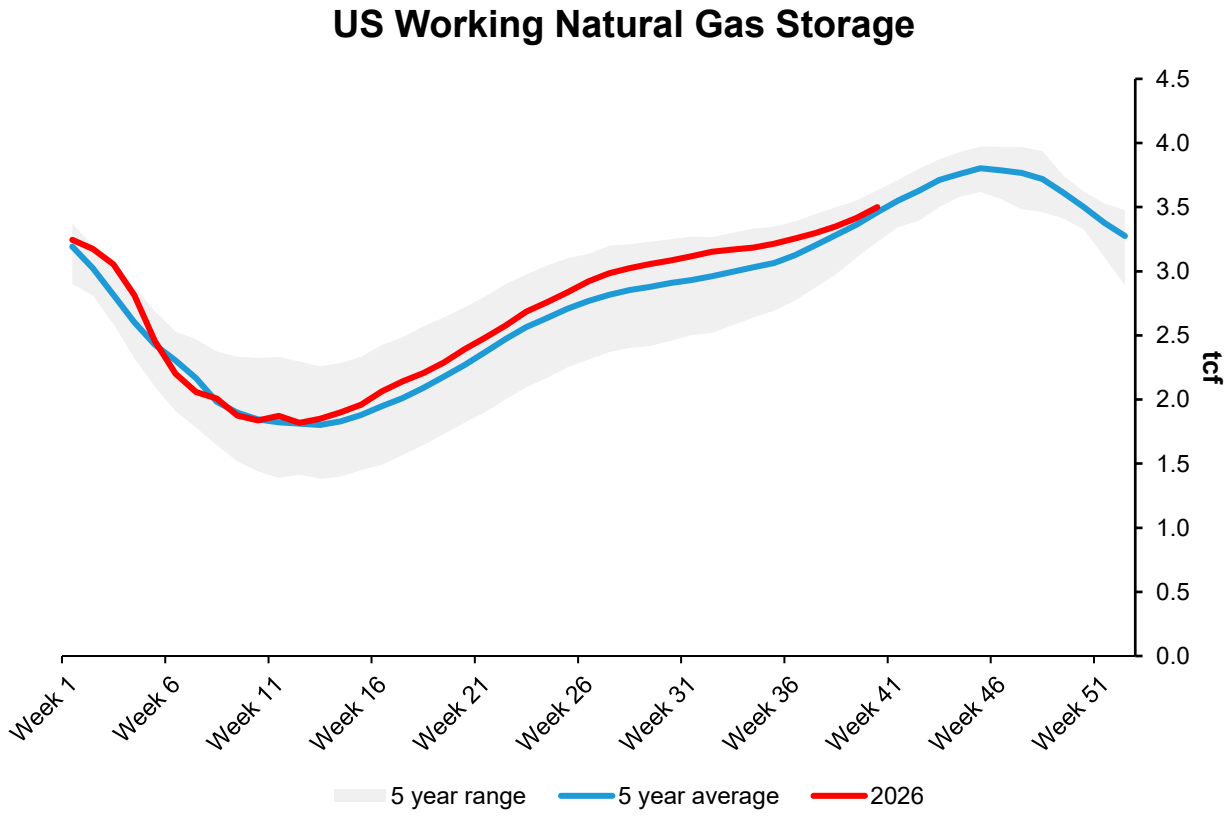



El Nino years are 1997-98, 2015-16, and 2023-24
Source: NOAA, Bernstein analysis

We refute lower gas demand from El Nino in this note: Americas Gas: Will a strong El Nino dampen gas equities this winter?

## SUPPLY - PRODUCTION

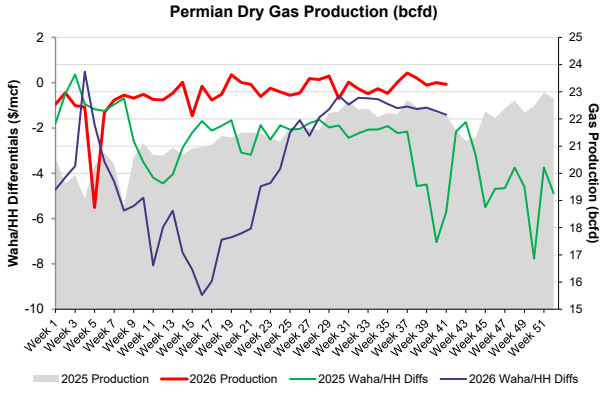
EXHIBIT 12: **Gas storage is healthy, riding the 5 year average into October.**




Source: EIA, Bernstein analysis

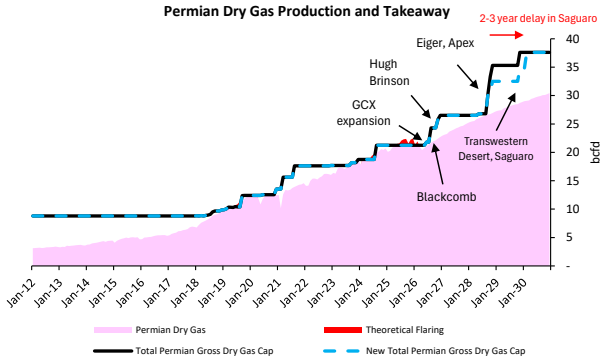
Storage is ~38bcf above the 5-year average (**bearish**) (Exhibit 12)

EXHIBIT 13: **Permian dry gas production is up 1.6 bcfd YTD. Production is largely uncorrelated with Waha/ Henry Hub differentials, suggesting production is largely associated with oil.**




Source: Bloomberg, Bernstein analysis

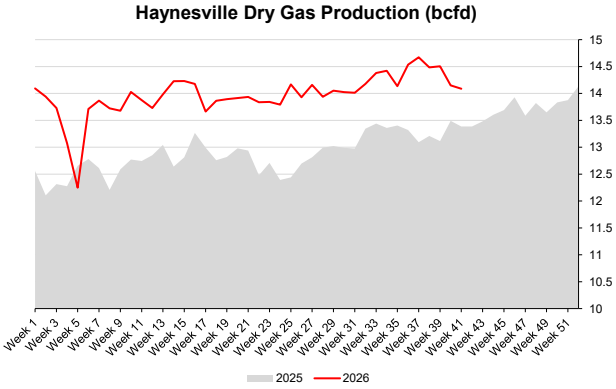
EXHIBIT 14: **We don't expect Permian pipes to be filled immediately. Constant delays (like the Saguaro) drive uncertainty in future basin takeaway capacity.**




Source: Enverus, EIA, Bernstein estimates and analysis

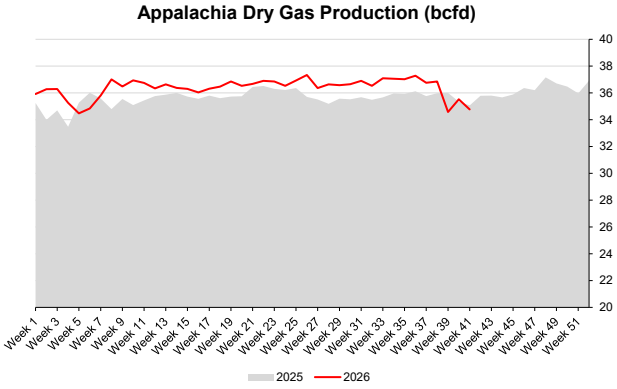
Permian dry gas is up +1.6bcfd yoy and Waha/HH differential is negative, suggesting full pipes (price is **bullish**, and production was expected due to Gulf Coast Express coming online) (Exhibit 13) We strongly argue against Permian takeaway pipes being filled quickly in this note: Americas Gas: Open choke...how fast will Permian gas flow?. In addition, we find planned pipes delayed (Exhibit 14), increasing uncertainty for producers and discouraging production growth in response to the build out of takeaway capacity, at least in the immediate term.

EXHIBIT 15: **Haynesville dry gas production is up +1.1 bcfd YTD**




Source: Bloomberg, Bernstein analysis

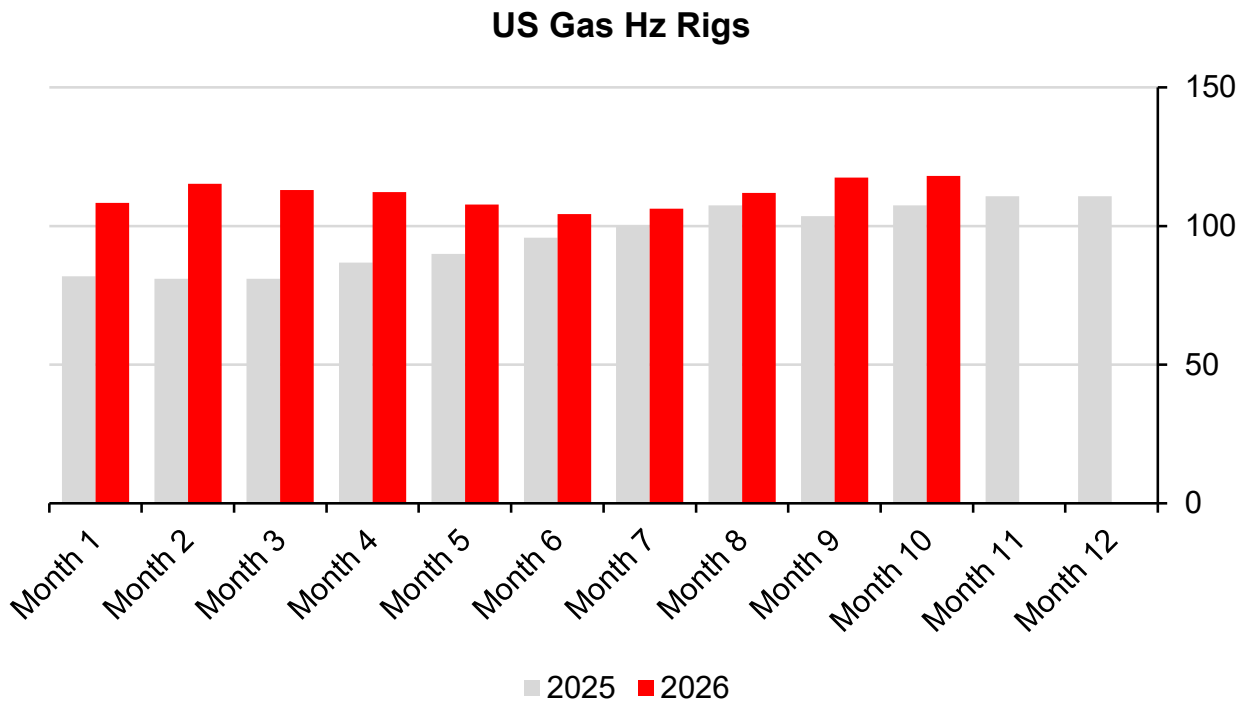
EXHIBIT 16: **Appalachia dry gas production is up +0.8 bcfd YTD**




Source: Bloomberg, Bernstein analysis

## SUPPLY - RIGS

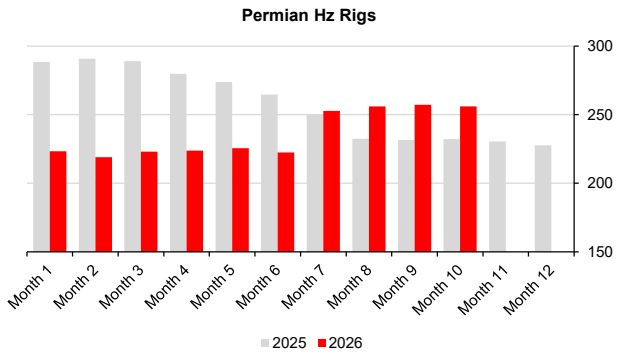
EXHIBIT 17: **US gas directed rigs were up by +18 on average YTD, with most of the growth coming from the Haynesville**




Source: Baker Hughes, Bernstein analysis

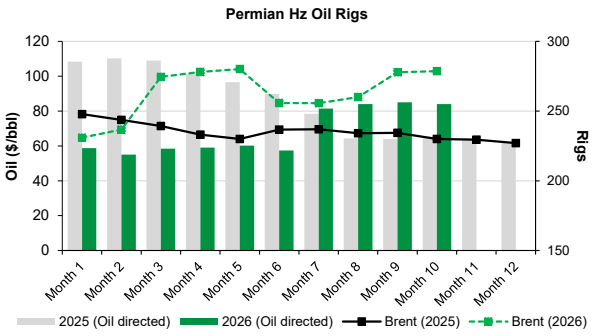
U.S. gas rig count is at 118 rigs (vs. 107 this time last year) with 56 in the Haynesville (**bearish**) (Exhibit 17 - Exhibit 24)

EXHIBIT 18: **While operators maintained discipline in the beginning of the year, horizontal rigs in the Permian have ticked up with rising crude prices.**



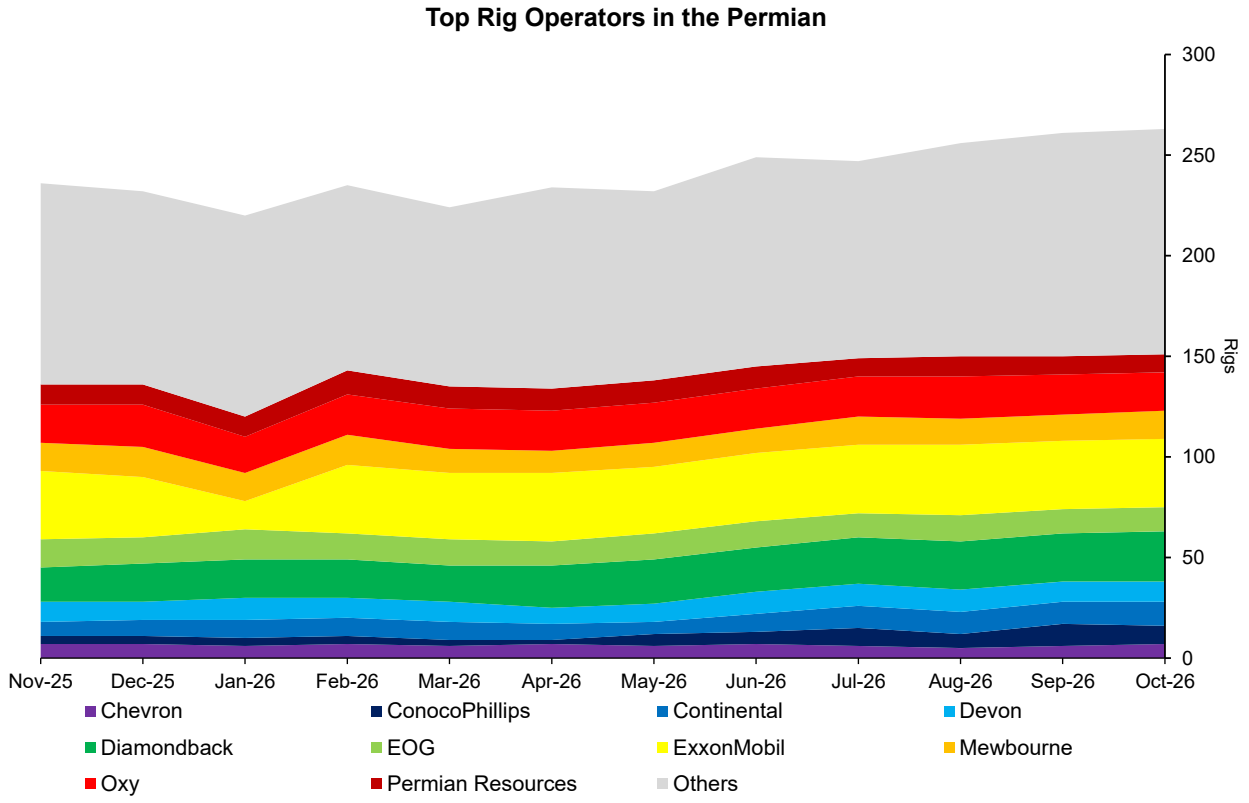

Source: Baker Hughes, Bernstein analysis

EXHIBIT 19: **Nearly all Permian rigs are oil-directed**




Source: Baker Hughes, Bernstein analysis

EXHIBIT 20: **Substantial growth in rigs is observed with Conocophillips, Continental, Diamondback, and other smaller operators.**



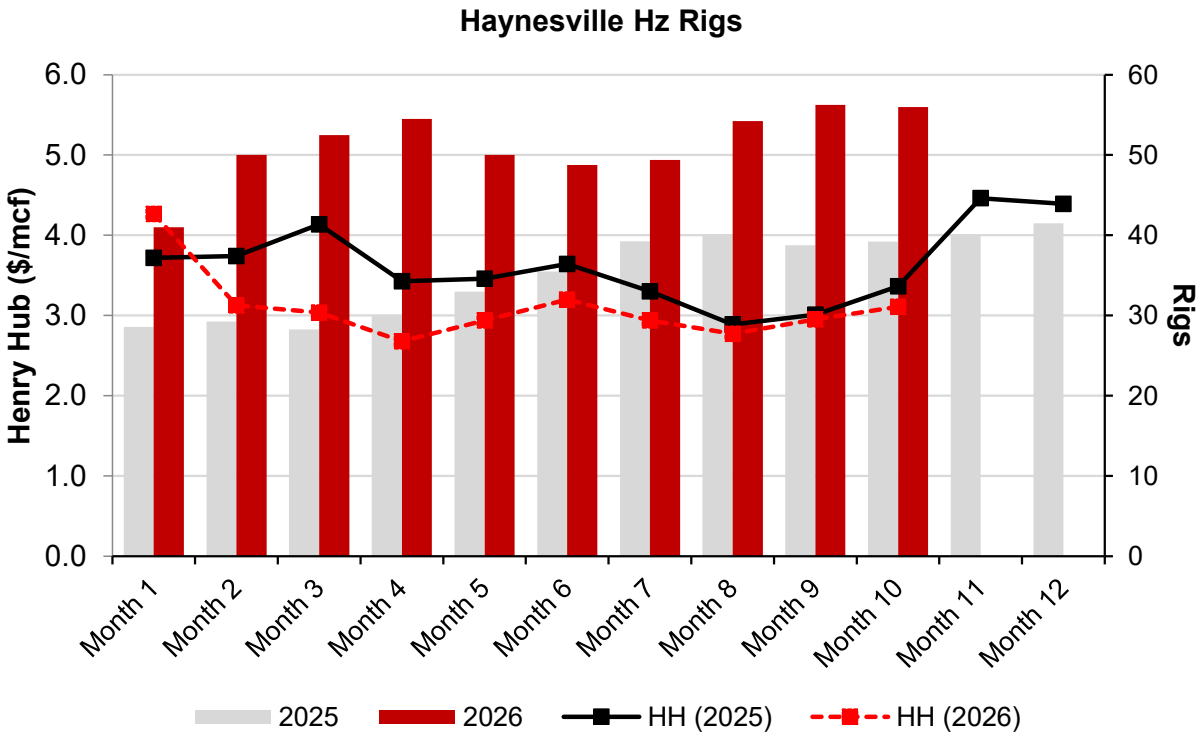

Includes horizontal rigs only
Source: Enverus, Bernstein estimates & analysis

EXHIBIT 21: **Estimated Permian Rig Summary**

| Permian | Nov-25 | Dec-25 | Jan-26 | Feb-26 | Mar-26 | Apr-26 | May-26 | Jun-26 | Jul-26 | Aug-26 | Sep-26 | Oct-26 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Chevron** | 7 | 7 | 6 | 7 | 6 | 7 | 6 | 7 | 6 | 5 | 6 | 7 |
| **ConocoPhillips** | 4 | 4 | 4 | 4 | 3 | 2 | 6 | 6 | 9 | 7 | 11 | 9 |
| **Continental** | 7 | 8 | 9 | 9 | 9 | 8 | 6 | 9 | 11 | 11 | 11 | 12 |
| **Devon** | 10 | 9 | 11 | 10 | 10 | 8 | 9 | 11 | 11 | 11 | 10 | 10 |
| **Diamondback** | 17 | 19 | 19 | 19 | 18 | 21 | 22 | 22 | 23 | 24 | 24 | 25 |
| **EOG** | 14 | 13 | 15 | 13 | 13 | 12 | 13 | 13 | 12 | 13 | 12 | 12 |
| **ExxonMobil** | 34 | 30 | 14 | 34 | 33 | 34 | 33 | 34 | 34 | 35 | 34 | 34 |
| **Mewbourne** | 14 | 15 | 14 | 15 | 12 | 11 | 12 | 12 | 14 | 13 | 13 | 14 |
| **Oxy** | 19 | 21 | 18 | 20 | 20 | 20 | 20 | 20 | 20 | 21 | 20 | 19 |
| **Permian Resources** | 10 | 10 | 10 | 12 | 11 | 11 | 11 | 11 | 9 | 10 | 9 | 9 |
| **Others** | 100 | 96 | 100 | 92 | 89 | 100 | 94 | 104 | 98 | 106 | 111 | 112 |
| **Total** | **236** | **232** | **220** | **235** | **224** | **234** | **232** | **249** | **247** | **256** | **261** | **263** |

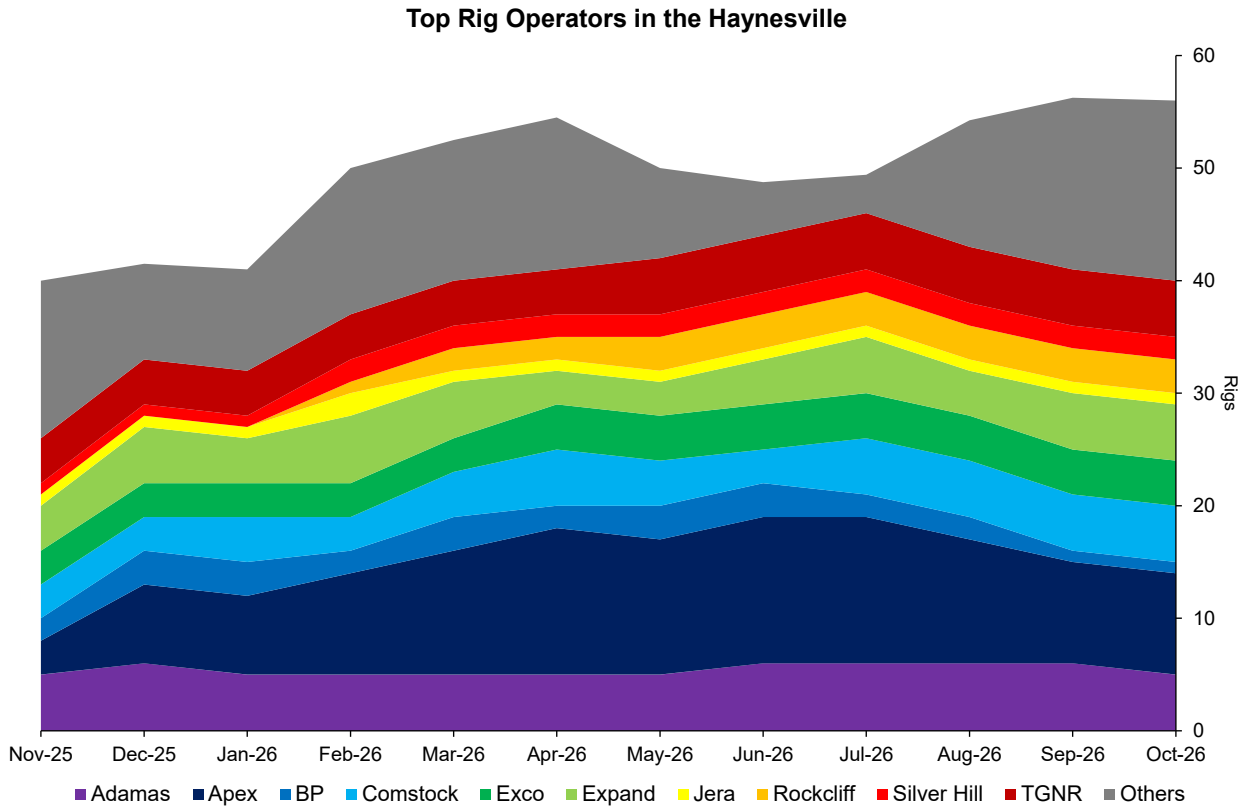
Includes horizontal rigs only
Source: Enverus, Bernstein estimates & analysis

EXHIBIT 22: **Haynesville horizontal rigs have ticked up significantly from last year, with +17 more rigs on average in 2026 vs 2025 YTD.**




Source: Baker Hughes, Bernstein analysis

EXHIBIT 23: **While the ten largest rig operators have largely maintained discipline, there has been growth in smaller rig operators**




Includes horizontal rigs only. Others determined by taking totals from Baker Hughes and subtracting the Top 10 operators from Enverus.
Source: Enverus, Baker Hughes, Bernstein estimates & analysis

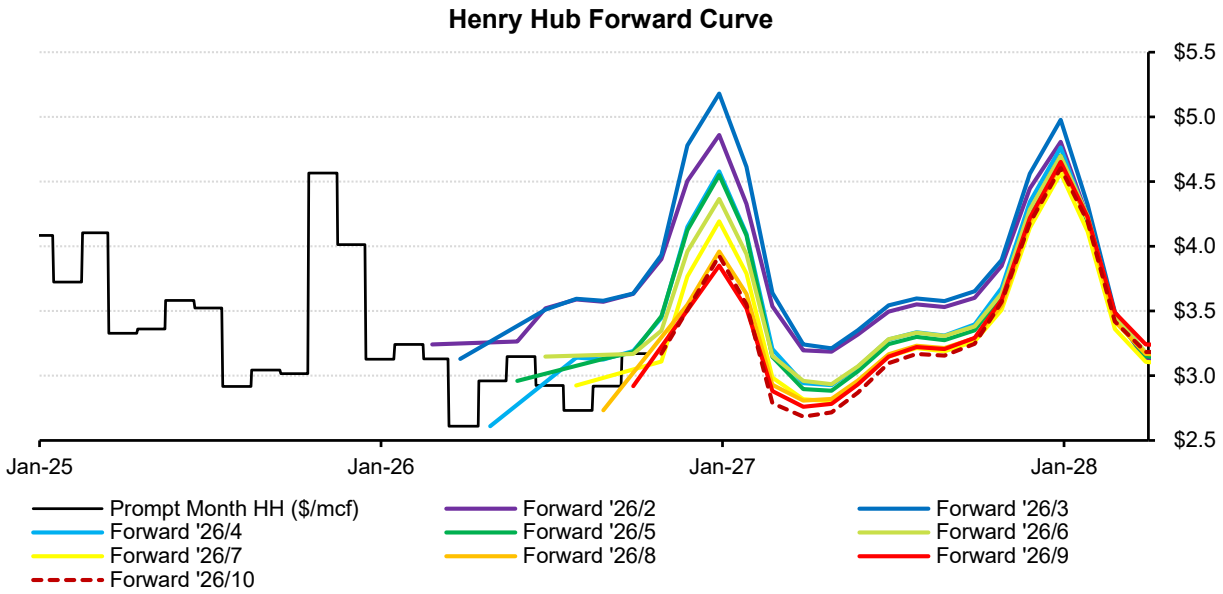
EXHIBIT 24: **Estimated Haynesville Rig Summary**

| Haynesville | Nov-25 | Dec-25 | Jan-26 | Feb-26 | Mar-26 | Apr-26 | May-26 | Jun-26 | Jul-26 | Aug-26 | Sep-26 | Oct-26 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Adamas** | 5 | 6 | 5 | 5 | 5 | 5 | 5 | 6 | 6 | 6 | 6 | 5 |
| **Apex** | 3 | 7 | 7 | 9 | 11 | 13 | 12 | 13 | 13 | 11 | 9 | 9 |
| **BP** | 2 | 3 | 3 | 2 | 3 | 2 | 3 | 3 | 2 | 2 | 1 | 1 |
| **Comstock** | 3 | 3 | 4 | 3 | 4 | 5 | 4 | 3 | 5 | 5 | 5 | 5 |
| **Exco** | 3 | 3 | 3 | 3 | 3 | 4 | 4 | 4 | 4 | 4 | 4 | 4 |
| **Expand** | 4 | 5 | 4 | 6 | 5 | 3 | 3 | 4 | 5 | 4 | 5 | 5 |
| **Jera** | 1 | 1 | 1 | 2 | 1 | 1 | 1 | 1 | 1 | 1 | 1 | 1 |
| **Rockcliff** | 0 | 0 | 0 | 1 | 2 | 2 | 3 | 3 | 3 | 3 | 3 | 3 |
| **Silver Hill** | 1 | 1 | 1 | 2 | 2 | 2 | 2 | 2 | 2 | 2 | 2 | 2 |
| **TGNR** | 4 | 4 | 4 | 4 | 4 | 4 | 5 | 5 | 5 | 5 | 5 | 5 |
| **Others** | 14 | 9 | 9 | 13 | 13 | 14 | 8 | 5 | 3 | 11 | 15 | 16 |
| **Total** | **40** | **42** | **41** | **50** | **53** | **55** | **50** | **49** | **49** | **54** | **56** | **56** |

Adamas is a subsidiary of Mitsubishi; Apex is a subsidiary of Citadel previously Paloma; Jera is a 50/50 JV of Tokyo Electric and Chubu Electric; TGNR is a subsidiary of Tokyo Gas; Includes horizontal rigs only
Source: Enverus, Baker Hughes, Bernstein estimates & analysis

## FORWARD CURVE

EXHIBIT 25: **With rig growth in the Permian associated with oil drilling, as well as Haynesville rig growth from smaller operators, expectations of supply growth along with a warmer winter from "El Nino" have pushed down the forward curve.**




Source: Bloomberg, Bernstein estimates and analysis

Henry Hub contracts for January '27 delivery have collapsed from a peak of above $5/mcf in the beginning of the year to below $4/mcf in October.

## I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

### VALUATION METHODOLOGY

#### EQT Corporation

We rate EQT Outperform and value the company at $68/sh using a 4.5x EV/EBITDA multiple on its 2027E EBITDA of $9.2B and incorporating additional returns to shareholders. EQT’s target price has been adjusted slightly to reflect recent M&A activity and our updated 2026 gas price deck.

#### Expand Energy Corporation

We value Expand Energy at 4.0x EV/EBITDA multiple on our 2027 EBITDA estimate of $8.2B and incorporate additional returns to shareholders for a PT of $127/sh.

### RISKS

#### EQT Corporation

We rate EQT Outperform. Downside risks to our base case include: (1) wall of LNG hitting the market in 2025, (2) Russian gas coming back online, and (3) deleveraging failing to meet expectation.

#### Expand Energy Corporation

We rate EXE Outperform. Downside risks to our thesis include: (1) Russian gas coming back online compressing gas prices, (2) weaker macro environment pressuring gas demand, and (3) synergy cost savings failing to meet expectation.

### RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

### EQUITY RATINGS DEFINITIONS

#### Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

**Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

**AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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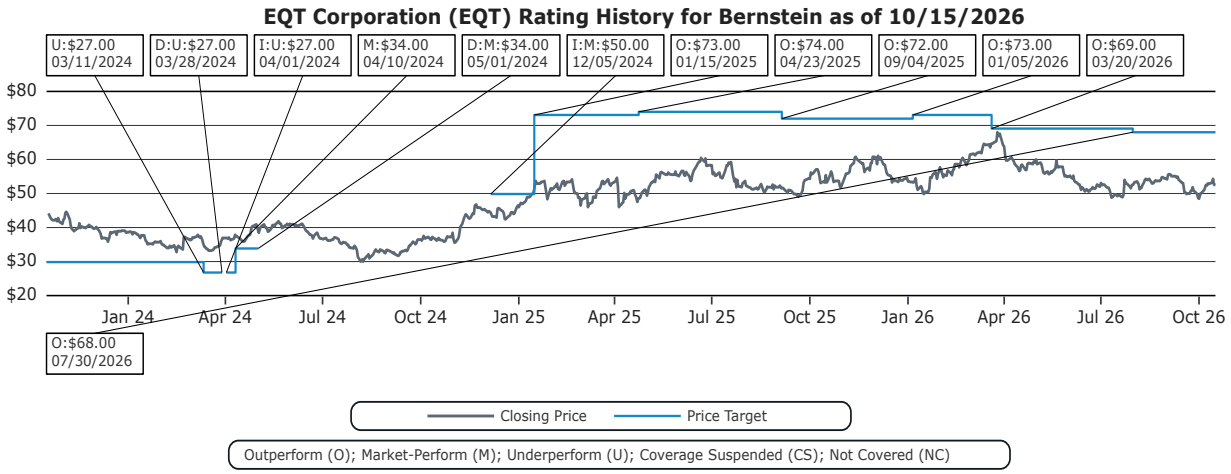
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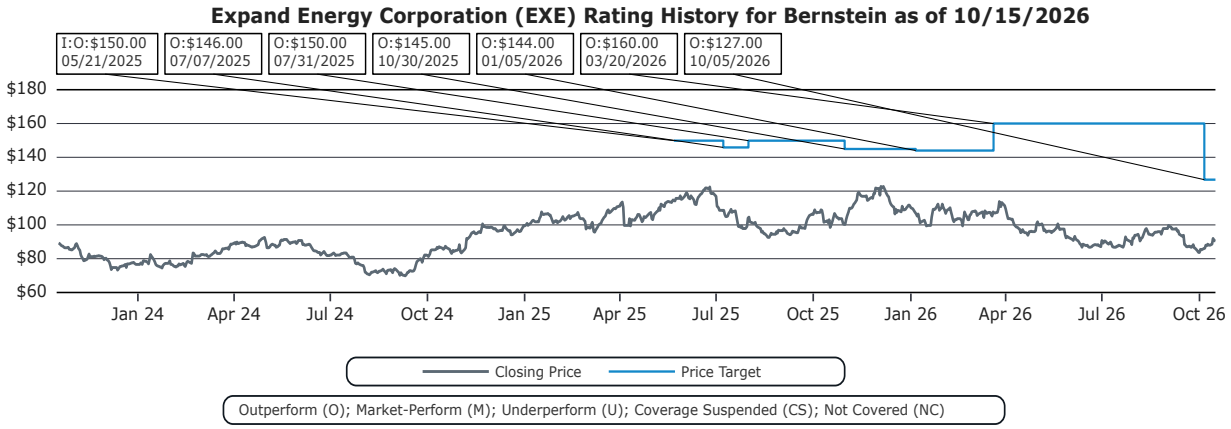
| Equity Rating | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|---|---|---|---|
| Outperform | BUY | 52.3% | 14.2% |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD | 35.6% | 16.1% |
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